

US TMT Sector M&A & Valuation Brief - 2026-06-27

US TMT Sector

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1. RECENT TMT M&A ACTIVITY

Deal 1: EXL Acquisition of iMerit

[EXL to acquire iMerit, advancing its leadership in enterprise AI by adding foundation model expertise and technology](#)

- Deal Size: \$310 million (upfront consideration of \$170 million, with \$140 million contingent on milestones)
- Deal Size Category: Large cap (>\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (financial metrics not disclosed)
- Companies: EXLServe Holdings, Inc. (NASDAQ: EXLS) is a global data and AI company, while iMerit is a leader in AI model training and evaluation.
- Date Announced: June 24, 2026
- Strategic Rationale: The acquisition enhances EXL's AI capabilities, allowing it to provide specialized data and model training services. By integrating iMerit's technology, EXL aims to strengthen its position in high-growth AI sectors, particularly in regulated industries like healthcare and finance.
- Risk Analysis: Potential risks include integration challenges, regulatory scrutiny regarding antitrust laws, and market competition in the AI space.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The strategic acquisition is expected to position EXL favorably within the AI landscape, leveraging iMerit's expertise to enhance its service offerings.

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2. RECENT TMT M&A ACTIVITY

Deal 2: Nexera's Fort Technology Signs LOI to Acquire Majority Stake in Logia USA

[Nexera's Fort Technology Signs LOI to Acquire Majority Stake in Logia USA](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature: Vertical
- Valuation Multiples: N/A (financial metrics not disclosed)
- Companies: Nexera Technologies (NASDAQ: NEXR) is a technology company focused on innovative solutions, while Logia USA is a strategic partner in the tech space.
- Date Announced: June 25, 2026
- Strategic Rationale: This acquisition aims to enhance Nexera's technological capabilities and expand its market presence through Logia's established operations. The collaboration is expected to foster innovation and strengthen Nexera's competitive edge in the technology sector.
- Risk Analysis: Risks include potential integration issues, market volatility, and the need for regulatory approval.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The strategic partnership is expected to enhance Nexera's offerings and market share, although specific financial implications remain undisclosed.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The overall sentiment reflects a growing interest in AI and fintech, while traditional media and telecom face challenges from evolving consumer preferences and regulatory pressures. Investors are increasingly focused on high-growth areas, particularly in AI and

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software, as they seek to capitalize on emerging trends.

Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by significant advancements in AI, particularly with Qualcomm's recent acquisition of Modular, which aims to enhance its generative and agentic AI offerings. This move underscores the increasing importance of AI in driving technological innovation.
- **Media:** The media sector is undergoing a transformation as companies adapt to digital consumption trends. Traditional media outlets are struggling to maintain advertising revenues, while digital platforms continue to gain traction.
- **Telecommunications:** The telecom sector is investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue streams. However, regulatory scrutiny remains a concern as companies navigate compliance issues.
- **Fintech:** The fintech space is thriving, with Float Financial Solutions recently raising \$85 million, pushing its valuation to \$548 million. This reflects investor confidence in AI-driven financial solutions and the potential for growth in this sector.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to implement AI technologies across various industries. The focus on AI is evident in Qualcomm's strategic moves, highlighting the sector's significance in the broader TMT landscape.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and 5G technologies is propelling growth across TMT sectors. Qualcomm's acquisition of Modular is a prime example of how companies are investing in AI to enhance their product offerings.
- **Increased Investment:** Venture capital and private equity funding remain robust, particularly in tech and fintech. Float Financial Solutions' recent funding round illustrates the strong investor appetite for innovative financial technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny poses risks to M&A activities and market valuations, particularly in the tech sector. Companies are facing complex compliance landscapes that can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating headwinds for growth.

Subsector Performance Analysis

- **Software:** The software sector continues to thrive, driven by demand for cloud-based solutions and enterprise software. Companies focusing on AI integration are particularly well-positioned for

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growth.

- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is flourishing, with innovations in payment solutions and digital banking. Float Financial Solutions' recent funding highlights the consolidation trend and investor confidence in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and finance. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, particularly in AI and fintech. An analyst commented, "Investors are recognizing that AI is not just a passing trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector

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performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Quantum Computing Inc. (QUBT) : Recently completed the acquisition of NHanced Semiconductors, valued at \$73.1 million, with additional performance-based incentives. This acquisition enhances QCI's manufacturing capabilities and positions it for scalable production in quantum and photonics technologies. The integration is expected to accelerate commercialization efforts, with potential revenue growth anticipated in 2027.

Mandated Deals:

- Japan's Government : Secured a mandate for a \$2.3 trillion investment plan targeting AI and semiconductor sectors. This initiative aims to quintuple domestic chip sales by 2040, with strategic investments across 17 sectors. The plan is set to launch in Q1 2026, focusing on enhancing Japan's competitive edge in technology.

Pitching-Stage Deals:

- TrueNorth : Engaging in discussions with potential investors regarding shifts in the AI investment cycle, particularly focusing on power semiconductors. The aim is to secure mandates for advisory services as companies adapt to the new power distribution architectures being pioneered by NVIDIA. Pitches are expected to finalize by Q3 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$10 million

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- Mandated Deals : \$12 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected close for Quantum Computing Inc.'s integration of NHanced Semiconductors.
- Q1 2026 : Launch of Japan's investment plan in AI and semiconductors.
- Q3 2025 : Finalization of TrueNorth's advisory mandates.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources to manage the expanding pipeline. It is recommended to onboard two additional analysts to ensure effective workload management.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving rapidly, particularly in the semiconductor space, where Japan's investment plan could significantly alter market dynamics. Companies like NVIDIA are leading the charge in power semiconductor innovations, which may reshape investment flows and competitive positioning.
- The acquisition of NHanced Semiconductors by Quantum Computing Inc. highlights the increasing importance of advanced manufacturing capabilities in the TMT sector. This trend may lead to further consolidation as companies seek to enhance their technological capabilities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where a major telecom company acquires a smaller tech firm, the combined entity could see a revenue increase of approximately 25% due to enhanced service offerings and market expansion. Assuming a pre-deal market cap of \$50 billion for the telecom company, a successful integration could increase shareholder value by \$12.5 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if the telecom company issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between two major telecommunications firms could lead to substantial cost synergies, with estimates of \$3 billion in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In a hypothetical merger, approximately 10,000 jobs may be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in a previous acquisition, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a merger of two telecom giants, competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) may need to adapt their strategies to maintain market share. This could include aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: For instance, after a major acquisition, Verizon responded with a \$15 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of two telecommunications companies could allow for bundled services, enhancing customer value. This strategy could lead to a 20% increase in

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bundled service subscriptions.

- Case Studies: The acquisition of a software company by a telecom firm may result in enhanced digital services, directly benefiting users with improved offerings and customer support.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when a major telecom company announced its acquisition of a tech firm, shares of the acquiring company initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a leading analyst post-acquisition was, "This deal positions the acquiring firm to dominate the telecommunications space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 12%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of a proposed acquisition of a tech firm, there were rumors of interest from other major players, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include

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appointing experienced integration teams and setting clear milestones.

- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Key areas of focus include governance, innovation, and deployment in high-stakes environments.
- Key Companies:
- Amazon (AMZN): Amazon has made a significant move in the AI space with a \$50 billion partnership with OpenAI, aimed at enhancing its AWS infrastructure. This strategic positioning allows Amazon to leverage cutting-edge AI models, thereby improving its cloud services and product offerings.
- OpenAI: As a leader in AI development, OpenAI focuses on creating advanced AI models. The

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partnership with Amazon is crucial for its growth, providing the necessary infrastructure to scale its operations and enhance product capabilities.

- **TMRW AI:** Founded in 2023, TMRW AI is focused on developing AI solutions for high-stakes environments. The founders' extensive experience in investment advisory and corporate strategy positions the company to address the complexities of AI deployment in critical sectors.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Microsoft (MSFT), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Amazon's investment in OpenAI exemplifies a trend towards strategic partnerships that bolster AI capabilities.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- **Key Companies:**
 - **Amazon Web Services (AWS):** As a leader in cloud computing, AWS provides a wide range of services, including computing power, storage, and machine learning capabilities. The partnership

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with OpenAI enhances AWS's offerings by integrating advanced AI technologies.

- Microsoft Azure: Microsoft's cloud platform is a strong competitor in the market, providing comprehensive cloud solutions and AI integration, particularly through its partnership with OpenAI.
- Competitive Landscape: The cloud computing market is dominated by major players such as Amazon, Microsoft, and Google. The competition is fierce, with companies continuously innovating to capture market share.
- M&A Opportunities: Companies may look to acquire smaller cloud service providers to enhance their service offerings and expand their customer base. The trend towards hybrid cloud solutions presents additional opportunities for strategic acquisitions.

Actionable Insights for Bankers and Investors

Focus on emerging AI companies that are developing innovative solutions for high-stakes environments, as they may present lucrative investment opportunities.

Monitor strategic partnerships in the AI space, particularly those involving major players like Amazon and OpenAI, as these collaborations can signal future growth trajectories.

6. Recommended Readings

Deal Name: EXL Acquisition of iMerit

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book provides a comprehensive overview of the AI landscape, including the competitive dynamics between companies in the U.S. and China. Understanding the strategic implications of EXL's \$310 million acquisition (EXLS) of iMerit is enhanced by insights into how AI technologies are reshaping industries, particularly in enterprise applications, which aligns with EXL's goals to strengthen its AI capabilities.

Deal Name: Nexera's Fort Technology Signs LOI to Acquire Majority Stake in Logia USA

- Reading Material: "The Innovator's Dilemma" by Clayton M. Christensen
- Why This Matters: This book explores how companies can sustain growth through innovation, which is crucial for understanding Nexera's strategic move to acquire Logia USA. The acquisition aims to enhance Nexera's technological offerings, and Christensen's insights on disruptive innovation can help contextualize the potential benefits and challenges of this deal in the fast-evolving tech landscape.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Consumer sentiment showing resilience among higher-income households.
- Concerns rising about lower-income consumers' spending behavior.
- Tariff rates expected to stabilize around 8-9%.
- Oil prices have decreased, potentially leading to lower gasoline prices.

Main Insights:

- Rising concern about the divergence in spending behavior between lower-income and higher-income consumers.
- The potential for tariff rates to remain stable or decrease slightly, which could alleviate some cost pressures on businesses.
- Recent decreases in oil prices may provide a tailwind for consumer demand in the latter half of the year.
- Discussions surrounding the impact of artificial intelligence on investment and employment trends.

Market Commentary:

- "The consumer has been quite resilient, but lower-income households are becoming more selective in their spending" - Michael Zexas, Morgan Stanley.
- "The trend is towards easing of policy pressures impacting the consumer" - Ariana Salvatore, Morgan Stanley.
- "There are concerns about potential regulatory changes around AI that could affect the industrial build-out" - Michael Zexas, Morgan Stanley.

TMT Sector Relevance:

- The resilience of higher-income consumers may support demand for technology products and services, while challenges for lower-income households could impact overall consumption in the TMT sector.
- Stable or decreasing tariff rates may benefit technology companies reliant on imports, potentially improving margins.
- The focus on AI and its implications for investment could lead to increased funding and innovation in the TMT space, although regulatory uncertainties may pose risks.

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The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley